

Scores of stocks are unsatisfactory long holdings without being clear-cut short sales.

Other situations may make it necessary to consider selling. The favorable developments which were expected when the security was bought may fall short of original anticipations. Or the holder may face a loss if he sells.

In this one instance it is possible to state a mechanical rule to be followed. Naturally the exercise of good sense and logic and the possession of accurate information, rather than adherence to any formula or system, constitute the basis of all successful investment. But it is sound policy to get out of long positions which begin to prove themselves wrong by declining in price. This is the one automatic proceeding in handling securities, the only proceeding in which no judgment is needed.

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*Human likes and dislikes will wreck any investment program. Only logic, reason, information and experience can be listened to if failure is to be avoided.*

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Losses must always be "cut." They must be cut quickly, long before they become of any financial consequence. After the elimination of a stock in this manner, the transaction must be, in a sense, forgotten. It must be left out of future consideration so completely that there is no sentimental bar to reinstating the position at higher level, either very soon or at any later date, if the purchase again seems strongly advisable.

Cutting losses is the one and only *rule* of the markets that can be taught with the assurance that it is always the correct thing to do. As a matter of arithmetic, any grammar school boy can learn the formula. But, as a matter of actual application, it requires a completeness of detachment from human